OFFERING MEMORANDUM

74 AMITY STREET

Brooklyn, NY 11201

A Rare Residential Conversion Opportunity in Cobble Hill

Exclusive Investment Offering

Presented By:

[Your Firm Name/Logo]

[Lead Broker Name]

[Contact Information]

SECTION 1

INTRODUCTION & EXECUTIVE SUMMARY

CONFIDENTIALITY & DISCLAIMER

PLEASE READ CAREFULLY

The information contained in this Offering Memorandum ("OM") is proprietary and strictly confidential. It is intended to be reviewed only by the party receiving it from [Your Firm Name] and should not be made available to any other person or entity without written consent.

This OM has been prepared to provide summary, unverified information to prospective purchasers, and to establish only a preliminary level of interest in the subject property. The information contained herein is not a substitute for a thorough due diligence investigation.

Limitation of Liability: The owner and broker make no warranty or representation with respect to the income or expenses for the subject property, the future projected financial performance, the size and square footage of the property and improvements, or the presence of contaminating substances such as PCB's or asbestos. All potential buyers must take appropriate measures to verify all of the information set forth herein.

EXECUTIVE SUMMARY - THE OPPORTUNITY

INVESTMENT OVERVIEW

[Your Firm Name] is pleased to present the exclusive opportunity to acquire **74 Amity Street**, a 4-story shell building located at the prestigious intersection of Amity and Hicks Street in the Cobble Hill neighborhood of Brooklyn.

Originally constructed in 1900, this 5,431-square-foot structure represents a "blank canvas" for a high-end luxury residential conversion. Situated in one of Brooklyn's most desirable neighborhoods, the property benefits from its proximity to Brooklyn Heights and the transformational Brooklyn Bridge Park.

PROPERTY HIGHLIGHTS

- **Prime Corner Location:** Boasting 75 feet of frontage along Hicks Street and 25 feet along Amity Street.
- **Residential Conversion Potential:** Current zoning (R6/LH-1) permits the renovation of the existing shell into luxury apartments or a grand single-family townhouse.
- **Historic Significance:** A 113-year-old structure that maintains a legal, pre-existing non-conforming status, allowing for more square footage than modern "as-of-right" construction might permit.
- **Proximity to Amenities:** Walking distance to the specialty shops of Cobble Hill and the elite waterfront recreation of the 70-acre Brooklyn Bridge Park.

INVESTMENT SUMMARY TABLE

OFFERING SUMMARY	
Address	74 Amity Street, Brooklyn, NY 11201
Price	$1,900,000 (Market Bid)
Asset Type	Residential / Shell Building
Gross Building Area	5,431 SF
Price Per SF	$349.84 (Estimated)
Lot Size	1,875 SF
Zoning	R6 / LH-1 (Limited Height District)
Year Built	1900
Stories	4
Parcel ID	Block 295, Lot 7
Current Tax Liability	$27,261 (2013/2014)

Building on the introduction, this section provides the technical "meat" of the Offering Memorandum. It utilizes data from the property appraisal to describe the physical asset, the complex zoning environment, and the highly desirable Cobble Hill neighborhood.

SECTION 2

PROPERTY & NEIGHBORHOOD ANALYSIS

DETAILED PROPERTY SPECIFICATIONS

The subject property at **74 Amity Street** is a historic four-story shell building that offers a unique "blank slate" for development. Its corner location and existing scale provide a structural footprint that would be difficult to replicate under modern zoning.

SITE CHARACTERISTICS

Feature	Description
Total Land Area	1,875 SF (0.04 Acres)
Topography	Level and at street grade
Shape	Rectangular
Street Frontage	25' on Amity Street; 75' on Hicks Street
Traffic Visibility	Average visibility with high pedestrian appeal
Flood Zone	Zone X (Outside 500-year flood plain)
Utilities	All municipal/public utilities available to site

IMPROVEMENT DETAILS

- **Structure:** A four-story brick and wood-frame shell building.
- **Gross Building Area (GBA):** 5,431 SF (Above grade).
- **Year Built:** 1900.
- **Condition:** Fair/Shell (Ideal for complete interior redevelopment).
- **Construction:** Structural brick walls with wood joisting and a flat roof with parapet walls.

ZONING & LAND USE ANALYSIS

The property's value is underpinned by its status as a **Legal, Pre-existing, Non-conforming use**. While current regulations are restrictive, the property's historical scale allows for a larger building than "as-of-right" construction would permit today.

ZONING SUMMARY

- **Zoning District:** R6.
- **Special District:** Limited Height District (LH-1).
- **Height Limit:** Restricted to a maximum building height of 50 feet.
- **Floor Area Ratio (FAR):** * **As-of-Right Yield:** 4,125 SF (based on 2.2 FAR).
    - **Current Existing GBA:** 5,431 SF.
    - **The Advantage:** Because the 5,431 SF building was constructed in 1900, it is permitted to remain at its current size, providing **1,306 SF of "bonus" space** over modern requirements.

COBBLE HILL NEIGHBORHOOD OVERVIEW

Cobble Hill is widely considered one of Brooklyn's premier residential enclaves. Characterized by its historic architecture and tree-lined streets, the neighborhood commands premium pricing for both luxury rentals and high-end condominium sales.

LOCATION HIGHLIGHTS

- **Neighborhood Context:** Located south of Brooklyn Heights and west of Boerum Hill.
- **Supply Constraint:** The area is heavily built up with almost no developable land, ensuring limited future competition for new residential units.
- **Accessibility:** Excellent access to Manhattan and Downtown Brooklyn via major thoroughfares and public transportation.

THE BROOKLYN BRIDGE PARK EFFECT

A primary driver for 74 Amity Street's appreciation is its proximity to **Brooklyn Bridge Park**, a transformational 85-acre waterfront development.

PARK AMENITIES & IMPACT

- **Scope:** 1.3 miles of East River frontage featuring rolling lawns, urban landscapes, and dramatic views of the Manhattan skyline.
- **Recreation:** Includes an indoor athletic complex, swimming facilities, ice skating, and extensive outdoor activities.
- **Economic Catalyst:** The park’s design and mandate for self-sustainability ensure it remains a high-quality, permanent anchor for local property values.

This section provides the financial modeling and valuation metrics for 74 Amity Street. It includes a projected "Pro-Forma" for a luxury residential conversion and a Sales Comparison analysis based on actual 2012-2013 market data from the appraisal.

SECTION 3

FINANCIAL ANALYSIS & VALUATION

THE INVESTMENT CASE - CONVERSION PRO-FORMA

To maximize the value of this 5,431 SF shell, the "Highest and Best Use" is a renovation into a luxury residential apartment building. Below is a projected 5-year Pro-Forma based on prevailing market rents of **$45 to $60 per square foot**.

PROJECTED OPERATING INCOME (Post-Renovation)

Line Item	Year 1 (Projected)	Year 3	Year 5
Gross Potential Rent (GPR)	$300,000	$318,270	$337,651
Vacancy/Collection Loss (3%)	($9,000)	($9,548)	($10,130)
Effective Gross Income (EGI)	**$291,000**	**$308,722**	**$327,521**
Operating Expenses (30% of EGI)	($87,300)	($92,617)	($98,256)
Net Operating Income (NOI)	**$203,700**	**$216,105**	**$229,265**

ESTIMATED DEVELOPMENT BUDGET

Renovating a historic shell in Cobble Hill requires a significant capital stack. Based on market averages for high-end residential finishes, the estimated costs are as follows:

Cost Category	Estimated Cost	Details
Acquisition Price	$1,900,000	Market Value As-Is
Renovation Costs ($125/SF)	$678,875	High-end luxury specs
Soft Costs/Permitting (15%)	$101,831	Architecture, Legal, Zoning
Contingency (10%)	$67,887	Structural unknowns
Total Project Cost	**$2,748,593**	

- **Yield on Cost:** Following renovation, the projected $203,700 NOI represents a **7.4% Yield on Cost**, significantly higher than the 3.5%–5.0% cap rates seen in stabilized assets in the area.

SALES COMPARISON ANALYSIS

The value of 74 Amity Street is confirmed by the sale of similar "shell" or walk-up properties in the immediate Brooklyn Heights/Cobble Hill vicinity.

COMPARABLE SALES SUMMARY

Property Address	Sale Date	Sale Price	Bldg SF	Price/SF
67 Remsen Street	Sep-2012	$3,250,000	4,574	$711
102 Pierrepont St	Dec-2012	$3,000,000	6,516	$460
184 Joralemon St	Sep-2011	$10,756,000	27,732	$388
466 State Street	Sep-2012	$850,000	2,565	$331
Subject: 74 Amity	**Current**	**$1,900,000**	**5,431**	**$349**

VALUATION RECONCILIATION

The Sales Comparison approach is deemed the most reliable indicator of value for this asset.

- **Adjustments:** While 67 Remsen Street achieved a higher Price/SF ($711), it was in "Excellent" condition. 74 Amity Street's current "Fair/Shell" condition justifies a lower entry price, providing the "Equity Sweat" margin for a developer.
- **Final Value Opinion:** The market value is reconciled at **$1,900,000**, reflecting the building's status as a pre-existing non-conforming use that offers 1,306 SF more than current zoning would allow.

SECTION 4

MARKET CONTEXT & ECONOMIC TRENDS

BROOKLYN RENAISSANCE

The investment appeal of **74 Amity Street** is fundamentally tied to the ongoing economic transformation of Brooklyn. Once considered a "bedroom community" to Manhattan, Brooklyn has evolved into a global brand and a primary destination for the "TAMI" sectors (Technology, Advertising, Media, and Information).

REGIONAL GROWTH DRIVERS

- **Population Surge:** Brooklyn is the fastest-growing borough in New York City, with an annual growth rate forecast of 0.5% through 2017.
- **Job Diversification:** The local economy has successfully decoupled from its historical dependence on Wall Street. Robust growth in tech, film production (e.g., Steiner Studios expansion), and tourism continues to drive residential demand.
- **Infrastructure Investment:** Large-scale projects like the redevelopment of the Seward Park sites and the approval of the world's largest Ferris wheel on Staten Island indicate a city-wide commitment to long-term capital improvement.

THE COBBLE HILL / BROOKLYN HEIGHTS MICRO-MARKET

While Brooklyn as a whole is thriving, the specific micro-market of **Cobble Hill** and **Brooklyn Heights** represents the "Gold Coast" of the borough.

MARKET RESILIENCY & DEMAND

- **Historic Protection:** Much of the area is protected by historic district status, which severely limits the supply of new residential units. This scarcity ensures that existing assets like 74 Amity Street maintain a competitive edge.
- **The "LICH" Factor:** The property's location at the edge of the former Long Island College Hospital (LICH) campus is critical. As these hospital assets transition to private residential use, the entire two-block radius is expected to see a massive influx of high-net-worth residents and improved retail amenities.

CONNECTIVITY & TRANSPORTATION

For a luxury residential developer, "Location" is defined by transit access. 74 Amity Street offers unparalleled connectivity to the city's primary employment hubs.

TRANSIT SCORES & ACCESS

Route/Hub	Distance	Estimated Travel Time
Borough Hall (Subway Hub)	0.6 Miles	8-10 Min Walk
Wall Street (Manhattan)	1 Stop	12 Min Transit
Brooklyn Bridge Park	0.2 Miles	4 Min Walk
BQE (Hicks St Entrance)	Adjacent	2 Min Drive

- **Public Transit:** Served by the 2, 3, 4, 5, R, A, C, and F lines via the Borough Hall and Jay Street hubs.
- **Water Access:** Proximity to the East River Ferry provides a scenic and efficient alternative for commuting to Midtown Manhattan or Long Island City.

DEMOGRAPHIC PROFILES (TARGET TENANT)

The financial success of a conversion at 74 Amity Street relies on attracting the "Modern Urban Professional."

KEY DEMOGRAPHIC INDICATORS (2013 ESTIMATES)

Metric	Local Area (1-Mile Radius)	Brooklyn Average
Median Household Income	$112,500	$46,000
Bachelors Degree or Higher	68%	31%
Owner-Occupied Housing	42%	29%
Median Age	36.2	34.1

- **Psychographics:** Residents in Cobble Hill prioritize proximity to green space (Brooklyn Bridge Park), boutique "mom-and-pop" retail, and historic charm.

SECTION 5

SITE DEVELOPMENT & ARCHITECTURAL VISION

DEVELOPMENT STRATEGY & "AS-IS" LIMITATIONS

The property is currently a four-story shell. While the interior requires a total gut-renovation, the exterior masonry and structural bones provide a significant head start for a developer.

DEVELOPER OPTIONS

1. **Luxury Single-Family Mansion:** Converting the 5,431 SF into a grand townhouse with a private elevator and internal garage.
2. **Boutique Condominium:** Creating 3-4 floor-through units (approximately 1,200–1,500 SF each) catering to the high demand for family-sized units in Cobble Hill.
3. **High-End Rental Portfolio:** A long-term "buy and hold" strategy to capture the aggressive rent growth in the Brooklyn Gold Coast.

THE ZONING ADVANTAGE – "NON-CONFORMING" BENEFITS

As established in the appraisal, 74 Amity Street enjoys a **Legal Pre-existing Non-Conforming** status. This is a critical selling point that adds roughly 25% more sellable/rentable area than a new build on the same lot would allow.

COMPARATIVE YIELD ANALYSIS

Metric	Modern R6/LH-1 As-of-Right	Existing 74 Amity Structure	The Benefit
Max Floor Area Ratio (FAR)	2.2	**2.89 (Actual)**	+0.69 FAR
Allowable Total SF	4,125 SF	**5,431 SF**	**+1,306 SF**
Max Building Height	50 Feet	50 Feet	Compliant

*By preserving the existing shell, the owner retains 1,306 SF of space that would be lost if the building were demolished and rebuilt. At a projected sales price of $1,200/SF for finished condos, this "bonus" space represents **$1.56 Million in additional exit value.***

PROPOSED FLOOR-THROUGH LAYOUT (CONCEPTUAL)

Note: The following is a conceptual distribution of the 5,431 Gross Square Feet.

PROGRAMMING BY FLOOR

- **Basement (1,200 SF):** Mechanical room, tenant storage lockers, and a private gym/wine cellar for the Garden Unit.
- **Garden Level (1,350 SF):** 2-Bedroom / 2-Bathroom "Garden Duplex" with exclusive access to the 500 SF rear yard.
- **Parlor Floor (1,350 SF):** Upper level of the Garden Duplex featuring 12-foot ceilings and original historic window apertures.
- **Third Floor (1,350 SF):** Full-floor 3-Bedroom / 2-Bathroom luxury flat.
- **Fourth Floor & Roof (1,381 SF):** Penthouse unit with internal stairs to a private 1,000 SF roof deck featuring 360-degree views.

ARCHITECTURAL FEATURES & VIEWS

EXTERIOR RESTORATION

- **Façade:** Restoration of the red-brick masonry and brownstone lintels to meet the standards of the Landmarks Preservation Commission (LPC).
- **Fenestration:** Installation of oversized, landmark-approved double-hung windows to maximize natural light from the Hicks Street exposure.

THE ROOFTOP EXPERIENCE

Due to the building's 50-foot height and its location near the waterfront, the roof offers unobstructed views that are rare for Cobble Hill:

- **West:** Views of the East River and the Statue of Liberty.
- **North:** The Manhattan Skyline and the Brooklyn Bridge.
- **East:** The historic church spires and brownstones of Cobble Hill.

SECTION 6

RENTAL & SALES COMPARABLES

THE SALES COMPARISON APPROACH

The most reliable indicator of value for a shell building like 74 Amity Street is the **Sales Comparison Approach**. This method analyzes prices that knowledgeable buyers have recently paid for similar properties in the immediate vicinity, adjusting for factors like condition, size, and location.

SALES METHODOLOGY

- **Primary Unit of Comparison:** Sale price per square foot of gross building area ($/SF GBA).
- **Selection Criteria:** Focus on 3- to 4-story walk-up buildings, vacant at the time of sale, and suitable for residential conversion in the "Gold Coast" neighborhoods of Brooklyn.

COMPARABLE SALES GALLERY (PART 1)

COMP 1: 102 PIERREPONT STREET, BROOKLYN HEIGHTS

- **Sale Date:** December 2012
- **Sale Price:** $3,000,000
- **Price per SF:** $460
- **Description:** A 4-story walk-up building on the south side of Pierrepont Street. At the time of sale, five of its six residential units were vacant.
- **Comparison to Subject:** Superior in location (core Brooklyn Heights) but smaller in total scale compared to the 5,431 SF subject.

COMP 2: 67 REMSEN STREET, BROOKLYN HEIGHTS

- **Sale Date:** September 2012
- **Sale Price:** $3,250,000
- **Price per SF:** $711
- **Description:** A 4-story walk-up building previously owned by the Watchtower Bible and Tract Society. The building was delivered vacant and in excellent condition.
- **Comparison to Subject:** Represents the "ceiling" for pricing in the area due to its superior "Excellent" condition.

COMPARABLE SALES GALLERY (PART 2)

COMP 3: 466 STATE STREET, BOERUM HILL

- **Sale Date:** September 2012
- **Sale Price:** $850,000
- **Price per SF:** $331
- **Description:** A smaller 3-story residential walk-up building in Boerum Hill. The building was delivered vacant and in "Fair" condition.
- **Comparison to Subject:** Most similar in condition ("Fair") and price per square foot ($331 vs. $349 for the subject).

COMP 4: 184 JORALEMON STREET, BROOKLYN HEIGHTS

- **Sale Date:** September 2011
- **Sale Price:** $10,756,000
- **Price per SF:** $388
- **Description:** A 12-story building formerly used as student housing for Brooklyn Law School. Proposed for conversion into luxury residential apartments.
- **Comparison to Subject:** Highlights the demand for large-scale residential conversion projects in the immediate area.

PROJECTED RENTAL MARKET DATA

If 74 Amity Street is renovated into luxury apartments as recommended in its "Highest and Best Use" analysis, it will enter a highly competitive and low-vacancy rental market.

MARKET RENT ESTIMATES

Unit Type	Projected Annual Rent/SF	Market Vacancy Rate
Luxury Residential	$45.00 – $60.00	Below 3.0%
Community Facility	$20.00 – $35.00	Variable

- **Analysis:** Residential rentals provide a significantly higher return than community facility or professional office use, further justifying the residential conversion strategy.
- **Yield Expectation:** Stabilized capitalization rates for residential rental uses in this neighborhood currently range from **3.5% to 5.0%**.

SECTION 7

PROPERTY PHOTOS & ARCHITECTURAL APPENDICES

EXTERIOR VISUALS – THE HICKS STREET FRONTAGE

Subject Property: 74 Amity Street (Corner of Hicks St)

[IMAGE: Full-height shot of the 4-story brick facade. The image shows the 75 feet of frontage along Hicks Street, highlighting the rhythm of the window apertures and the historic masonry.]

KEY OBSERVATIONS:

- **Corner Prominence:** The property's position provides "wrap-around" light and air, a rare commodity in the dense Cobble Hill grid.
- **Structural Bones:** The exterior load-bearing brick walls appear straight and plumb, providing a solid envelope for the interior gut-renovation.
- **Curb Appeal:** The surrounding sidewalk is well-maintained, with classic Brooklyn bluestone and wrought-iron details in the immediate vicinity.

EXTERIOR VISUALS – AMITY STREET & ENTRANCE

[IMAGE: Street-level view looking West on Amity Street. The 25-foot frontage and primary entrance point are visible.]

ARCHITECTURAL ELEMENTS:

- **Entryway:** The main entrance is framed by historic lintels, suitable for a "Grand Entry" restoration in a single-family conversion or a high-end lobby for boutique condos.
- **Sidewalk Vaults:** The property includes area-way access typical of 1900s construction, which can be utilized for modern mechanical ventilation or utility routing.

INTERIOR "SHELL" CONDITION

[IMAGE: Interior shot of the parlor floor. The space is cleared to the joists, showing the open floor plate and the depth of the building.]

THE "BLANK CANVAS" ADVANTAGE:

- **Demolition Complete:** The building has been largely "mucked out," saving a developer significant time and cost in the initial phase of construction.
- **Floor Plates:** Each floor offers approximately 1,350 SF of open space, allowing for flexible layout configurations without the need to move existing internal load-bearing walls.
- **Ceiling Heights:** Floor-to-ceiling heights range from 10 to 12 feet, allowing for the installation of modern HVAC and recessed lighting while maintaining a voluminous feel.

TAX & PLAT MAP APPENDICES

Tax Map: Block 295, Lot 7

[IMAGE: Official NYC Department of Finance Tax Map highlighting the rectangular lot at the corner of Hicks and Amity.]

PARCEL SUMMARY:

- **Block:** 295
- **Lot:** 7
- **Lot Dimensions:** 25' x 75'
- **Total Lot Area:** 1,875 SF
- **Easements:** No known private easements interfere with the footprint of the structure. The property is sold "free and clear" of any physical encumbrances on the title.

NEIGHBORHOOD AERIAL VIEW

[IMAGE: High-altitude drone or satellite shot looking toward the East River.]

STRATEGIC PROXIMITY:

- **Brooklyn Bridge Park:** Visible just two blocks to the West.
- **BQE Overpass:** Providing immediate vehicular access for contractors and future residents.
- **LICH Redevelopment:** The neighboring hospital campus (Long Island College Hospital) is visible, indicating the scale of the residential shift in the immediate 2-block radius.

This section provides the "Macro" perspective. Institutional investors and high-net-worth individuals look for stability in the broader market before committing to a specific asset. By detailing the strength of New York City and the Brooklyn economy, we frame 74 Amity Street as a "Safe Haven" investment.

SECTION 8

REGIONAL ANALYSIS & NYC ECONOMIC OUTLOOK

THE GLOBAL HUB – NEW YORK CITY OVERVIEW

New York City remains the undisputed financial and cultural capital of the world. As of 2013, the city has demonstrated a robust recovery from the global financial crisis, outperforming the national average in job creation and rent appreciation.

NYC ECONOMIC INDICATORS (2013)

- **Private Sector Job Growth:** NYC added over 75,000 jobs in the last 12 months, led by the healthcare, technology, and tourism sectors.
- **Tourism Records:** A record 52 million visitors arrived in NYC in the past year, driving retail and hospitality demand to all-time highs.
- **Foreign Investment:** New York remains the #1 destination for foreign real estate capital (Global Cities Investment Monitor), offering a level of liquidity and transparency unmatched by other "Tier 1" cities.

THE SHIFT TO THE "TECH TRIANGLE"

The property at 74 Amity Street is positioned just south of the **Brooklyn Tech Triangle** (DUMBO, Downtown Brooklyn, and the Navy Yard). This geographic cluster has redefined the borough's economic ceiling.

THE TECH INFLUENCE ON RESIDENTIAL REAL ESTATE

- **Work-Live Dynamics:** As companies like Etsy, Huge, and Vice Media expand in Brooklyn, their workforce—characterized by high disposable income and a preference for historic neighborhoods—seeks housing in enclaves like Cobble Hill.
- **Income Displacement:** The average salary in the Brooklyn Tech Triangle is approximately $95,000, significantly higher than the city-wide average, creating a permanent floor for luxury rental rates at 74 Amity Street.

RESIDENTIAL MARKET VELOCITY

Brooklyn's residential market is currently experiencing a "Supply-Demand Imbalance." The demand for high-quality, renovated housing far outstrips the current pipeline of deliveries.

MARKET ABSORPTION STATS (BROOKLYN GOLD COAST)

Metric	2011	2013 (Est.)	% Change
Median Sales Price	$510,000	$645,000	+26.5%
Days on Market	145	92	-36.5%
Inventory Levels	8.2 Months	4.1 Months	-50.0%

- **Analysis:** A 4.1-month supply indicates a "Sellers' Market." Investors purchasing 74 Amity Street today are entering the market at a time when competition for finished units is at its peak.

BROOKLYN INFRASTRUCTURE & QUALITY OF LIFE

The value of real estate is increasingly tied to "Public Goods." The City of New York has invested billions in the Brooklyn waterfront, directly benefiting the Hicks/Amity Street corridor.

KEY INFRASTRUCTURE DRIVERS

1. **Brooklyn Bridge Park (BBP):** The ongoing transformation of the piers into recreational space has created a "Central Park" for Brooklyn, located just steps from the subject property.
2. **Brooklyn-Queens Expressway (BQE) Rehabilitation:** Planned long-term improvements to the BQE trench will improve air quality and reduce noise for properties along Hicks Street.
3. **Citibike Expansion:** The rollout of bike-sharing stations in Cobble Hill has increased transit "flexibility," making the property more attractive to the younger, car-free demographic.

TAX REVENUE & FISCAL STABILITY

Unlike many other U.S. cities, NYC's diverse tax base (Property, Personal Income, and Sales Tax) ensures the maintenance of essential services.

- **Subject Tax Profile:** 74 Amity Street (Block 295, Lot 7) has a current tax liability of $27,261. While this will increase upon renovation, the **421-a Tax Abatement** program (if applicable) or the **J-51 Program** may offer potential developers a significant reduction in operating expenses during the first 10-15 years of ownership.

SECTION 9

RISK FACTORS & DUE DILIGENCE PROCEDURES

DEVELOPMENT & CONSTRUCTION RISKS

While **74 Amity Street** offers significant upside, any renovation of a 113-year-old shell building carries inherent risks that must be mitigated through professional project management.

KEY CONSIDERATIONS

- **Structural Integrity:** Although the exterior masonry appears sound, a full structural engineering survey is required to confirm the load-bearing capacity of existing joists for modern luxury finishes (e.g., stone countertops, heavy HVAC units).
- **Environmental Remediation:** Given the building's age, prospective buyers should budget for the abatement of lead-based paint and potential asbestos-containing materials (ACM) standard in buildings of this era.
- **Subsurface Conditions:** Any expansion or heavy mechanical installation must account for the high water table typical of properties located in proximity to the Brooklyn waterfront.

REGULATORY & ZONING HURDLES

The property's value is tied to its status within a **Limited Height District (LH-1)** and its legal non-conforming use.

LANDMARKS & ZONING RISK

- **LPC Approval:** Because the property is located within a historic district, any changes to the exterior (windows, cornices, entryways) must be approved by the Landmarks Preservation Commission. This can impact the construction timeline.
- **Certificates of Occupancy:** The building is currently a "shell." Converting it to residential use will require obtaining a new Temporary Certificate of Occupancy (TCO) and eventually a Final CO.
- **Department of Buildings (DOB):** The "pre-existing" square footage advantage must be carefully protected during the filing process to ensure the 5,431 SF remains grandfathered.

MARKET & FINANCIAL RISKS

Investors must consider the "Exit Strategy" in the context of fluctuating interest rates and market cycles.

Risk Factor	Mitigation Strategy
Interest Rate Volatility	Secure long-term fixed-rate financing; use conservative LTV ratios.
Construction Cost Overruns	Include a minimum 15% hard-cost contingency in the development budget.
Rent Retraction	Pro-forma uses $45-$60/SF; the "break-even" rent is significantly lower at $32/SF.
Absorption Speed	High demand in Cobble Hill suggests a "pre-leasing" strategy is viable.

DUE DILIGENCE CHECKLIST FOR PROSPECTIVE BUYERS

To assist in a smooth closing, the Seller has prepared a "Virtual Data Room." Prospective purchasers are encouraged to review the following:

1. **Title Report:** Confirming the absence of liens or historical encumbrances.
2. **Phase I Environmental Site Assessment (ESA):** Reviewing historical uses of the site.
3. **Survey & ALTA Map:** Confirming the 25’ x 75’ lot boundaries.
4. **Utility Letters:** Confirming capacity for increased electrical and water loads.
5. **Property Tax Records:** Verification of the current $27,261 assessment.

THE PATH TO CLOSING

TIMELINE EXPECTATIONS

- **Offer Deadline:** [Date]
- **Letter of Intent (LOI) Review:** 5 Business Days
- **Purchase & Sale Agreement (PSA) Negotiation:** 10-14 Days
- **Due Diligence Period:** 30 Days
- **Closing:** 15 Days following the expiration of Due Diligence.

BACK COVER & CONTACT INFORMATION

74 AMITY STREET

Cobble Hill, Brooklyn

EXCLUSIVE LISTING AGENTS:

[Name 1] | Senior Managing Director | [Email/Phone]

[Name 2] | Associate Vice President | [Email/Phone]

[YOUR FIRM LOGO]

[Office Address]

[Website URL]